To conclude, we can say that,

Return on Equity = PAT/Equity

= PAT/Revenue X Revenue/Assets X Assets/Equity

= PAT Margins X Asset Turnover X Financial Leverage

We need to understand which of the three is source of return for the company. Also, we need to understand how the three of them are changing over the years. This should explain well about ROE and how it is evolving over time.

Next, we look at the Book Value Growth Rate or an indication of how a company's book value increases. The increase in book value is directly related to the increase in retained earnings and return generated on the same.

Increase in book value ∝ *Increase in retained earnings*

Sustainable Growth Rate

The next related concept we evaluate is Sustainable Growth Rate or SGR. SGR is the rate at which a company can keep growing without external financing or resources. This is calculated by:

ROE(1-Dividend Payout Ratio)

Dividend payout ratio is the share of profits the company pays off as dividends. If the company is earning a 20% ROE and paying 75% of its profits as dividends, then the SGR will be:

20%(1-0.75) = 5%

The company can grow at 5% without external capital inflow.

ROE Analysis

PARTICULARS	FY 2016	FY 2017	FY 2018	FY 2019	FY 2020	FY 2021
Margins	13%	13%	14%	12%	14%	15%
Asset turnover	2.16	2.07	1.87	1.92	1.78	1.00
Leverage	1.38	1.33	1.39	1.36	1.40	1.51
ROE	39.41%	35.40%	35.71%	30.99%	36.09%	22.20%
Book Value Growth Rate		34.19%	4.19%	16.17%	7.27%	24.86%
SGR	20%	34%	25%	19%	9%	22%

One assumption that SGR takes is constant ROE. Profits can grow faster than SGR by improving ROE. SGR is, of course, an accounting concept. In reality, companies can grow at a higher or lower rate if the ROE changes. Also the growth rates can be higher than SGR if the company has surplus cash that can be allocated to operations. Growth can also be higher in case capital structure is changed. However, SGR should be used as an indication to when the company may require additional capital.